

Litigation Details Report for Microsoft Corporation

microsoft

Prepared on 2026-07-18T13:25:46

1. Introduction

This Litigation Details Report for Microsoft Corporation (hereinafter referred to as 'Microsoft' or 'the Company') is prepared to provide transparency regarding material legal proceedings as of July 18, 2026. The report aligns with prior disclosures in Company_Profile.pdf and Declarations.pdf, ensuring consistency in corporate and financial representations.

Microsoft is committed to compliance with all applicable laws and regulations across its global operations. This document categorizes litigation into ongoing and concluded cases, with a focus on matters that may impact the Company's financial position, reputation, or operational continuity.

2. Ongoing Litigation

As of July 2026, Microsoft is involved in the following material ongoing litigation. These cases are monitored closely by the Company's legal and compliance teams to mitigate potential risks.

	Jurisdiction	Plaintiff/Regulator	Status
s	U.S. District Court, Northern District of California	Cloud Innovations LLC	Discovery phase
re	European Commission	European Union	Investigation ongoing
	U.S. District Court, Western District of Washington	Current and former employees	Certification hearing scheduled
	Irish Data Protection Commission	Non-profit consumer advocacy group	Enforcement notice issued;
	High Court of Justice, England and Wales	Hon Hai Precision Industry Co., Ltd. (Foxconn)	Mediation scheduled for August

3. Concluded Litigation (Past 3 Years)

The following table summarizes material litigation concluded between 2023 and 2026. These cases have been resolved with no further legal recourse expected, though some may have ongoing financial or operational implications.

	Jurisdiction	Plaintiff/Regulator	Resolution Date	Outcome
ets	U.S. District Court, Southern District of New York	Independent software developers	March 2024	Settled out of court
liaries	Internal Revenue Service (IRS), USA	U.S. Government	November 2024	Settled; additional
ng	U.S. District Court, District of Columbia	Federal Trade Commission (FTC)	June 2025	Dismissed with pre
	California Environmental Protection Agency	State of California	January 2024	Settled; complianc
	Singapore International Arbitration Centre	Alphabet Inc. (Google)	April 2025	Arbitration award i

4. Regulatory and Compliance Actions

Microsoft is subject to ongoing regulatory oversight across multiple jurisdictions. The following table highlights recent and material regulatory actions, including investigations, enforcement notices, and compliance audits.

ure of Action	Jurisdiction	Status	Key Focus Areas
stigation into disclosure practices for AI-related risks	USA	Ongoing	Timeliness and accuracy of financi

Area of Action	Jurisdiction	Status	Key Focus Areas
Antitrust review for acquisition of a cybersecurity firm	United Kingdom	Under review	Impact on competition in the UK cybersecurity market
Antitrust review of software licensing practices	China	Concluded (June 2026)	Pricing and bundling of enterprise software
Investigation into data handling practices	Australia	Ongoing	Compliance with Australian Consumer Law
Review of cloud computing market practices	Brazil	Ongoing	Market dominance and pricing strategies

5. Intellectual Property Litigation

Intellectual property (IP) remains a critical asset for Microsoft, and the Company actively protects its IP portfolio while defending against infringement claims. The following table outlines material IP litigation as of July 2026.

	Jurisdiction	Plaintiff/Defendant	Status
AI Patent Infringement	U.S. District Court, Eastern District of Texas	Defendant: OpenAI, Inc.	Trial scheduled for Q3 2026
Trademark Dispute	European Union Intellectual Property Office (EUIPO)	Plaintiff: Microsoft	Opposition proceedings ongoing
Software Copyright	U.S. District Court, Northern District of California	Plaintiff: Group of software developers	Appeal pending
Patent Dispute	U.S. District Court, District of Delaware	Plaintiff: TechPatents LLC	Motion to dismiss filed
Employment Dispute	High Court of Justice, England and Wales	Defendant: Former employee and competitor	Settled (December 2025)

6. Litigation Risk Assessment

Microsoft's litigation risk is managed through a combination of proactive legal strategies, compliance programs, and financial reserves. The following assessment outlines the potential impact of ongoing litigation on the Company's creditworthiness and financial stability.

- Financial Impact:** The estimated financial exposure from ongoing litigation is approximately USD 100,000,000 to 200,000,000, which represents less than 0.1% of Microsoft's net worth (USD 166,542,000,000 as of July 2026). The Company maintains adequate liquidity and reserves to address potential liabilities.
- Operational Impact:** No material operational disruptions are anticipated from current litigation. Microsoft's diversified revenue streams and global supply chain mitigate risks associated with individual legal disputes.
- Reputational Impact:** Microsoft's long-standing reputation for compliance and corporate governance minimizes reputational risks. The Company's proactive engagement with regulators and stakeholders further reduces potential negative perceptions.
- Regulatory Risk:** While regulatory investigations (e.g., antitrust, data privacy) pose inherent risks, Microsoft's robust compliance framework and historical track record of cooperation with authorities mitigate potential adverse outcomes.

7. Director and Officer Liability

Microsoft's Directors and Officers (D&O) liability insurance provides coverage for legal expenses and potential liabilities arising from litigation involving the Company's leadership. As of July 2026, the following directors are covered under the D&O policy:

- Satya Nadella (Chairman and CEO)
- Brad Smith (Vice Chair and President)
- Amy Hood (Executive Vice President and CFO)

- Chris Capossela (Executive Vice President and CMO)
- Kathleen Hogan (Executive Vice President and Chief People Officer)
- Judson Althoff (Executive Vice President and Chief Commercial Officer)
- Kevin Scott (Executive Vice President and CTO)
- Jean-Philippe Courtois (Executive Vice President and President, National Transformation Partnerships)

The D&O policy includes coverage for regulatory investigations, shareholder lawsuits, and employment-related claims, with a limit of USD 250,000,000 per occurrence and in the aggregate.

8. Conclusion and Disclosures

This Litigation Details Report provides a snapshot of Microsoft's legal landscape as of July 18, 2026. The Company remains committed to transparency, compliance, and proactive risk management in all legal and regulatory matters.

Microsoft acknowledges that litigation outcomes are inherently uncertain, and actual results may differ from current estimates. The Company will continue to monitor developments and update stakeholders as appropriate through its regular financial disclosures and filings.

For further information, refer to Microsoft's Annual Report on Form 10-K, Quarterly Reports on Form 10-Q, and other public filings with the U.S. Securities and Exchange Commission (SEC).